

Insurance Policy Administration Process Flow

Standard Operating Procedure

Document Reference	SOP-INS-013
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Owner	Policy Administration — Operations
Approved By	Chief Operating Officer
Classification	Internal Use Only
Applicable To	All insurance policies administered by Meridian Insurance Group across personal and commercial lines

1. Purpose

This SOP defines the comprehensive end-to-end lifecycle process for administering an insurance policy at Meridian Insurance Group, from the point of application submission through to policy closure. It establishes a single authoritative reference for all roles involved in policy onboarding, risk assessment, issuance, in-force management, claims handling, renewal, and termination, ensuring consistency, regulatory compliance, and a high-quality policyholder experience throughout the policy lifecycle.

2. Scope

This procedure applies to:

- All personal and commercial lines insurance policies administered by Meridian Insurance Group
- New business applications, mid-term amendments, renewals, and policy closures
- Policies distributed via all channels: online, agent, broker, and bancassurance

This procedure does NOT cover: reinsurance treaty administration (SOP-RE-001), group member-level enrolment changes (SOP-INS-006), or claims settlement beyond intake registration (refer SOP-INS-011 and SOP-INS-012).

3. Roles and Responsibilities

Role	Responsibilities
Policyholder / Applicant	Submits insurance application with accurate and complete information; provides required identification documents; agrees to policy terms and price; makes premium payments; submits claims as required; requests policy changes or closure.
Insurance Agent / Sales Representative	Assists applicant through application process; verifies information at point of sale; communicates coverage details and terms; escalates application queries to Underwriting.
Application Processing Staff	Receives and registers applications; validates completeness and accuracy of submitted data; performs identity and document verification; routes application through underwriting workflow.
Underwriting Staff	Conducts risk assessment based on verified applicant data; determines policy pricing; drafts and reviews policy terms and conditions; approves or declines applications within authority.
Policy Administration Staff	Issues policy documents; dispatches policy to policyholder; updates and maintains policy records in the Policy Administration System throughout the policy lifecycle.
Finance / Accounts Receivable	Receives and processes initial and ongoing premium payments; monitors payment schedule compliance; raises billing alerts for missed payments.
Claims Staff	Receives and registers policyholder claims; assesses claim validity; manages claim settlement process per claims SOPs; updates claim status in PAS.

4. Pre-requisites and Triggers

This process is triggered when a prospective policyholder submits a completed insurance application via any Meridian channel. The following conditions must be met before the process advances beyond Step 3:

- Application form fully completed with all mandatory fields

- Applicant identity documents provided and available for verification
- Applicable product is available in the applicant's jurisdiction
- No active sanctions or watchlist match identified during initial screening

5. Process Steps

5.1 Application Receipt and Data Collection

#	Activity	Responsible	Output / Notes
1	Policyholder submits insurance application	Policyholder / Agent	Application received via portal, agent, or paper; application ID assigned; timestamp recorded in PAS
2	Collect and verify policyholder data	Application Processing Staff	Personal details (name, date of birth, address, contact method) confirmed; identification documents verified against submitted application; discrepancies flagged for follow-up
3	Access submitted application and verify coverage details	Application Processing Staff	Requested coverage type, sum insured, coverage period, and any special requirements reviewed; coverage eligibility confirmed against product guidelines

Note: Decision Gate — Insurance Agent Approval: Following Steps 2 and 3, the Insurance Agent or Application Processing Supervisor must formally approve the verified data and coverage details before the application proceeds to risk assessment. Applications with incomplete verification or coverage anomalies are returned to the applicant for correction.

5.2 Risk Assessment and Pricing

#	Activity	Responsible	Output / Notes
4	Conduct risk assessment based on verified data	Underwriting Staff	Risk evaluation checklist completed: claims history, occupation and lifestyle, health condition (where applicable), credit score, and driving record (auto). Overall risk score assigned.
5	Determine the policy price	Underwriting Staff / Rating Engine	Premium calculated based on risk profile, coverage level, and applicable rating factors. Currency confirmed (SGD default; FX rate applied for foreign currency cases). Proposed premium documented for applicant communication.

5.3 Policy Drafting and Terms Approval

#	Activity	Responsible	Output / Notes
6	Draft insurance policy	Underwriting Staff / Policy Admin	Policy document drafted incorporating verified coverage details, risk conditions, premium, payment schedule, and all applicable terms and conditions; input sought from Legal for non-standard clauses
7	Review and update policy terms and conditions	Underwriting Staff	Policy wording reviewed for accuracy, completeness, and regulatory compliance; any required amendments made; final terms confirmed

Note: Decision Gate — Policy Terms and Conditions Approval: The reviewed policy terms and conditions are submitted for formal approval by an authorised Underwriting Supervisor or the Head of Underwriting before communication to the policyholder. No policy terms may be communicated as final until this approval is obtained.

5.4 Policyholder Communication and Acceptance

#	Activity	Responsible	Output / Notes
8	Notify policyholder of policy terms and price	Policy Administration Staff	Formal notification dispatched by email (primary) and post (if requested); notification includes: coverage summary, premium amount, payment schedule, policy start date, and response deadline (10 business days)
9	Obtain policyholder consensus on policy terms and price	Policy Administration Staff / Agent	Policyholder confirms agreement via: online acceptance in portal, signed acceptance form, or verbal confirmation (recorded call). Disagreement or queries escalated to Agent or Underwriting for resolution.

5.5 Payment and Policy Issuance

#	Activity	Responsible	Output / Notes
10	Policyholder makes initial premium payment	Policyholder / Finance	Payment received via: credit card, debit card, online banking, cheque, or direct money transfer. Payment reference recorded in PAS. Coverage does not attach until payment is confirmed.

#	Activity	Responsible	Output / Notes
11	Formally issue the insurance policy	Policy Administration Staff	Final policy document generated in PAS; policy number assigned; coverage effective date confirmed; policy document uploaded and linked to policy record. Effective date and policy number recorded.
12	Dispatch policy document to policyholder	Policy Administration Staff	Policy Schedule, Certificate of Insurance, and Product Disclosure Statement dispatched by email within 2 business days of issuance; hard copy sent by registered post if requested or required by regulation

5.6 In-Force Policy Management

#	Activity	Responsible	Output / Notes
13	Update policy information in database	Policy Administration Staff	Policy record in PAS updated with: policy number, policyholder details, coverage specifics, premium amount, payment method, and policy expiration date. Record quality-checked within 1 business day of issuance.
14	Set up policy renewal reminders	Policy Administration Staff / PAS (auto)	Automated renewal alerts configured: 90-day, 60-day, and 30-day pre-expiry notifications to policyholder and assigned agent. Renewal reminder message customised per product line.
15	Monitor policyholder payment schedule	Finance / Policy Administration	Payment due dates tracked in billing system; automated payment reminders sent 7 days before each due date; missed payments flagged to Collections (SOP-INS-003) within 1 business day of non-receipt

5.7 Claims Management

#	Activity	Responsible	Output / Notes
16	File and manage policyholder claims	Claims Staff / Policy Administration	Claim received via claims portal, hotline, or written notification; claim type identified (property damage, auto accident, medical expenses, theft/burglary, or liability); claim registered in Claims Management System; claim ID issued to policyholder; routed to appropriate claims SOP (SOP-INS-011 or SOP-INS-012)

Note: Decision Gate — Claim Settlement Approval: All claim settlement decisions require formal approval from an authorised Claims Adjuster or Claims Manager within the authority matrix defined in POL-CLAIMS-001. No settlement payment is released without documented approval. Refer to SOP-INS-011 (Medical Claims) or SOP-INS-012 (P&C; Claims) for the full claims assessment and settlement process.

5.8 Policy Closure

#	Activity	Responsible	Output / Notes
17	Close policy at end of term or upon policyholder request	Policy Administration Staff	Policy closure initiated by: (1) natural expiry at end of policy term, (2) policyholder's written request for cancellation, (3) cancellation due to breach of policy terms, (4) non-payment of premiums after cure period, or (5) change in policyholder's circumstances rendering coverage ineligible. Policy status updated to 'Closed' or 'Lapsed' in PAS; closure date, reason code, and authorising staff member recorded. Any unearned premium refund calculated and processed per SOP-FIN-012.

6. Decision Points and Exception Handling

6.1 Application Data Discrepancy

- Application Processing Staff places application on hold and contacts applicant within 2 business days to clarify or resubmit supporting documents
- If discrepancy suggests material misrepresentation: Underwriting and Compliance notified; application suspended pending review
- Maximum resolution period: 14 calendar days before application is withdrawn

6.2 Applicant Disputes Policy Terms Post-Notification

- Agent or Policy Administration Staff liaises with Underwriting to assess whether terms adjustment is possible within authority
- Maximum of two revised term offers may be made; further negotiations escalated to Head of Underwriting

- If no agreement reached within 10 business days of first notification: application closed as 'Not Taken Up'

6.3 Initial Payment Not Received

- Policy Administration Staff sends payment reminder at T+3 and T+7 business days after due date
- If payment not received by T+14: application offer lapses; applicant notified in writing; application may be resubmitted within 30 days without re-underwriting, subject to Underwriting approval

6.4 Policy Closure — Disputed Cancellation

- If policyholder disputes a cancellation initiated by Meridian: closure is placed on hold for 10 business days pending internal review
- Policy Administration escalates to Compliance and Legal for cases involving regulatory implications
- Policyholder advised of external dispute resolution options if internal resolution is not achieved

6.5 Mid-Term Policy Change Request

- Policyholder requests a mid-term change (e.g., address update, additional cover, sum insured amendment) via portal, agent, or Customer Service
- Change assessed by Policy Administration and/or Underwriting; additional premium or return premium calculated
- Endorsement issued and dispatched within 5 business days of approved change request; refer SOP-INS-010 (Policy Endorsement and Mid-Term Adjustment)

7. Systems and Tools

System / Tool	Purpose	Access
Policy Administration System (PAS)	Central system of record for all policy lifecycle events: application, issuance, amendments, renewals, and closure	All roles
Rating Engine	Real-time premium calculation based on risk and coverage inputs	Underwriting, Application Processing
Billing System (Sapiens)	Premium payment scheduling, collection, and reconciliation	Finance, Policy Administration
Claims Management System (Majesco)	Claim registration, assessment workflow, and settlement tracking	Claims Staff
CRM (Salesforce)	Policyholder communication history, renewal tracking, agent relationship management	Agent, Policy Administration, Customer Service
Document Management System (SharePoint)	Policy document storage, version control, dispatch records	Policy Administration, Compliance
DocuSign	Digital signature for policy acceptance and formal amendments	Policy Administration, Policyholder
Payment Gateway	Secure initial and ongoing premium payment processing	Finance, Policyholder

8. Key Performance Indicators

- Application-to-issuance cycle time: 100% of standard applications issued within 3 business days of completed documentation and initial payment
- Policy document dispatch SLA: 100% of policy packs dispatched within 2 business days of policy issuance
- Terms acceptance rate: Minimum 75% of applicants who receive policy terms proceed to acceptance and payment
- Policy database accuracy: 100% of policy records updated within 1 business day of any change event
- Renewal reminder setup compliance: 100% of active policies have automated renewal reminders configured at issuance
- Payment schedule adherence: Minimum 94% of in-force policyholders current on premium payments at any given month-end
- Policy closure timeliness: 100% of closure requests processed and confirmed within 5 business days of request or trigger event
- Policyholder satisfaction (lifecycle): Minimum 4.2 out of 5.0 on annual policyholder experience survey

9. Related Documents

- SOP-INS-001: Online Insurance Sales
- SOP-INS-003: Bill Collection (Insurance Premiums)
- SOP-INS-004: Prospect-to-Issue
- SOP-INS-009: In-Force Customer Service (General)
- SOP-INS-010: Insurance Sales (General)
- SOP-INS-011: Medical Claims Processing
- SOP-INS-012: Property and Casualty Claims Processing
- SOP-FIN-012: Premium Refund Processing
- POL-UW-001: Personal Lines Underwriting Policy
- POL-CLAIMS-001: Claims Handling Philosophy and Authority Matrix
- POL-PRIV-001: Customer Data Privacy and Security Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Jun 2025	A. Tan, Policy Operations	Initial release — full policy lifecycle SOP consolidating application, issuance, in-force management, claims intake, and closure